

Auditra AI Financial Audit Report

Executive Dashboard

Risk Score: 90

Amount At Risk: ■113708.5

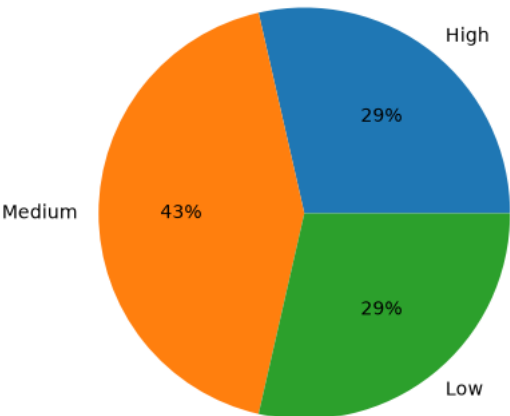
Confidence Score: 5%

Risk Level: Critical

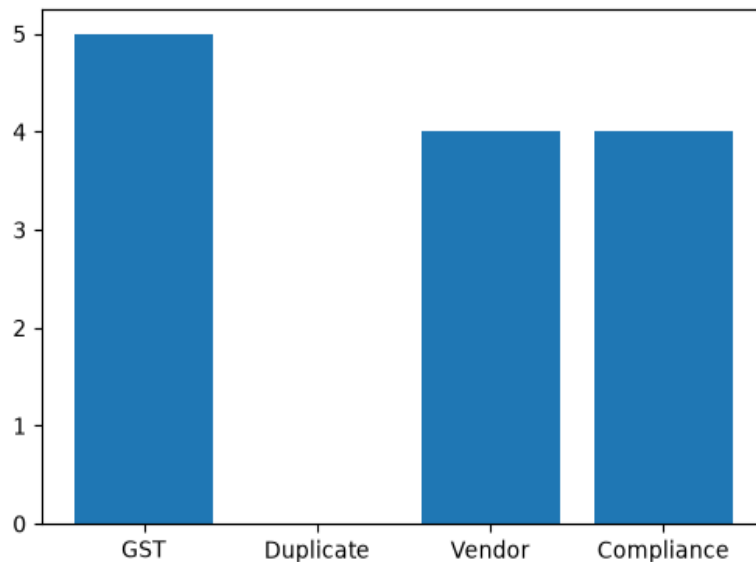
Executive Summary

The invoice presents a critical risk profile due to widespread and severe financial and compliance anomalies. Key findings include egregious GST miscalculations at the line-item level, which grossly inflate the stated tax component by over 113,000.00 INR. Furthermore, an expired product is listed for sale, the vendor's stated business type ('softwareketan Developers') is inconsistent with the products sold ('Fertilizer') and licenses held, and there is a significant discrepancy in the declared legal jurisdiction. While the summary 'Total Amount Before Tax' and 'Add: SGST/CGST' figures appear more consistent with correct calculations, the detailed line-item errors and a final Grand Total discrepancy indicate either gross negligence or an attempt at fraudulent overbilling. Missing information and internal calculation inconsistencies further compound the risks.

Severity Distribution



Risk Breakdown



Risk Assessment

Issues Found: 9

Detailed Findings

1. Egregious GST Miscalculations on Line Items (Overbilling)

Severity: Critical

Multiple line items exhibit severe discrepancies in CGST and SGST amounts compared to their declared 2.50% rates and basic prices. For Line 1, CGST/SGST are double the correct amount (47.62 INR vs 23.81 INR each, for 2 units). For Line 3, CGST/SGST are significantly overstated (8.57 INR vs 2.86 INR each, for 3 units). For Line 4, CGST/SGST are approximately 100 times higher than correct (357.15 INR vs 3.57 INR each, for 100 units). For Line 5, CGST/SGST are approximately 10 times higher (2,380.95 INR vs 238.10 INR each, for 10 units). This collectively represents a potential overbilling of 113,702.50 INR in the GST component if these line items were paid as presented.

2. Sale of Expired Product

Severity: Critical

Line 1 explicitly states 'Exp. Date: 10-01-2022', which is prior to the invoice date of '29-03-2020'. Selling expired products, especially fertilizers, poses significant quality, safety, and regulatory compliance risks.

3. Vendor Business Type Mismatch

Severity: High

The vendor is named 'softwareketan Developers' but is actively selling 'Fertilizer Detail' and holds licenses typically associated with agricultural products (FLZ Lic No., Seed Lic No., Pesticide Lic No.). This disparity between the vendor's name and business activities is a significant fraud indicator and warrants immediate investigation into their legitimacy and operational scope.

4. Jurisdiction Mismatch

Severity: High

The vendor is based in Vadodara, Gujarat, and the buyer in Surat, Gujarat (indicating an intra-state transaction, thus CGST+SGST). However, the invoice explicitly states 'Subject to Rewari Jurisdiction'. Rewari is located in Haryana, indicating a serious legal and tax compliance risk due to conflicting jurisdictions.

5. Grand Total Overbilling

Severity: Medium

The 'GRAND TOTAL' of 118,366.00 INR is inconsistent. When calculated correctly from 'Total Amount Before Tax' (112,724.11), 'Add: SGST' (2,818.10), 'Add: CGST' (2,818.10), and 'Round Off' (-0.31), the sum should be 118,360.00 INR. This results in an overbilling of 6.00 INR on the final invoice amount.

6. Inconsistent Summary GST Total

Severity: Medium

The line 'Total Tax Amount : GST' is declared as 5,742.31 INR. However, the sum of 'Add: SGST' (2,818.10 INR) and 'Add: CGST' (2,818.10 INR) is 5,636.20 INR. This represents an internal discrepancy of 106.11 INR in the summary section's GST calculation.

7. Conflicting Expiry Dates for Line Item 1

Severity: Medium

For 'Fertilizer Detail' (Line 1), two different expiry dates are provided: 'Batch.Exp: abc123456 10-2022' and 'Exp. Date: 10-01-2022'. These dates contradict each other, adding to the product compliance and data accuracy risks.

8. Inconsistent HSN Code Length

Severity: Low

The HSN Code '1234' for Line 4 is a 4-digit code, which is shorter than the standard 6 or 8-digit HSN codes typically used in India, and inconsistent with the 8-digit codes used for other items on this invoice (e.g., '12345678'). This suggests either incomplete information or an incorrect code being used, leading to potential compliance risks.

9. Missing Information

Severity: Low

The 'Transport Name' and 'Naration' fields are left blank. Additionally, while one contact number is provided for the buyer, the 'Contact No. =' field next to it is empty, indicating incomplete buyer information.

Recommendations

- Immediately halt payment for this invoice. Due to the severe nature and multitude of inconsistencies, it should not be processed.
- Request a fully corrected invoice from the vendor with accurate line-item calculations, especially for GST amounts, ensuring consistency across all fields.
- Conduct a thorough due diligence on 'softwareketan Developers' to verify their legitimate operations, business registration, and licensing, given the discrepancy between their name and products/licenses.
- Seek clarification on the 'Rewari Jurisdiction' clause; ensure the applicable legal and tax jurisdiction aligns with the actual transaction parties (Vadodara/Surat, Gujarat).
- Investigate the sale of expired 'Fertilizer Detail' (Line 1). Demand a credit note, replacement, or cancellation of charges for any expired goods and verify the integrity of other products.
- Implement enhanced invoice validation processes, potentially leveraging AI-driven tools, to proactively detect such extensive calculation errors and compliance red flags.

AUDIT CERTIFICATE

Risk Level: Critical

Confidence Score: 5%

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